become "fully valued." When I asked what this meant in layman's terms, he said, "Find something that sells for 20 cents that you know is worth a dollar. Buy it for 20 cents. Sit back and wait until you get your dollar for it."

"How do you know if something's worth a dollar?" I asked, thinking he'd tell me to take calculus. But according to Mr. Frank, the Fundamentalist approach to picking stocks is simple, and any idiot can learn it. The important numbers— such as earnings, sales, and book value—all can be found in the annual reports that you and I toss into the garbage can. Mr. Frank actually opens these reports. Specifically, he looks for stocks that "sell at ten times earnings or less, with a price-to-sales ratio of about 20 percent, and cheaper than the stated book value per share. Such bargains are hard to find these days, but it's not impossible."

The most important of all Mr. Frank's numbers is the price/earnings ratio, or "P/E." A big advantage of the P/E rating on each stock is that it's published daily in the stock tables of the newspaper. To understand the P/E, Mr. Frank said, first you have to realize that the "earnings" of a company are different from the "dividends." A company may declare no dividends at all on its stock, but if the company earns a lot of money the stock could have a favorable P/E ratio. On the other hand, the company could declare a huge dividend and yet have paltry earnings and an unfavorable P/E ratio. In searching for his stock market bargains, Mr. Frank ignores dividends and concentrates on earnings.

The P/E of any stock is simply the current price of the stock divided by the annual earnings per share. As Mr. Frank explained it, if a stock is selling for $10 a share and the company earns $1 per share during that year, then the P/E ratio is the $10 stock price divided by the $1 earnings, or 10. The more money a company earns relative to the stock price, the lower the P/E. The lower the P/E, the better the bargain. Mr. Frank prefers to buy stocks where the P/Es are 8 or below, but there's no strict rule.

The P/E of any stock can be compared with the P/Es of other similar stocks to help determine which is the best buy. Also, the entire stock market has an overall P/E—a good indication of which way the market as a whole might be headed. When investors are optimistic, the overall P/E is bid up as they pay higher and higher